

Report to: EXECUTIVE CABINET

Date: 28 January 2026

Executive Member: Councillor Hugh Roderick, Executive Member for Finance and Resources

Reporting Officer: Julie Smethurst, Assistant Director, Revenues and Benefits

Subject: **Council Tax Reduction Scheme (Council Tax Support Scheme) 2026-2027**

The Council must adopt a Council Tax Reduction (CTR) scheme no later than 11 March before the start of the financial year to which the scheme applies in accordance with the Local Government Finance Act 2012 as amended by The Council Tax Reduction Schemes (Amendment) (England) Regulations 2017.

The CTR scheme provides means tested financial support to eligible households to reduce Council Tax liability. Pension age applicants continue to receive support under nationally prescribed regulations, with their entitlement calculated on rules consistent with the former Council Tax Benefit system. Working-age claimants fall under the locally determined scheme.

The Council has undertaken the required annual review and proposes to maintain the 2025/2026 CTR scheme for the 2026/2027 financial year. This approach reflects the scheme's stable performance.

The Council must also ensure compliance with statutory duties, including consulting with major precepting authorities and considering the public sector equality duty and child poverty strategy when determining whether to amend or maintain the scheme. Forecasts indicate that the cost of the scheme will rise in 2026/2027 primarily due to increasing Council Tax charges and caseload changes, with indicative costs at £18.4m. The continued operation of the dedicated hardship fund, administered under Section 13A, will ensure that residents facing exceptional financial hardship can access additional support.

Failure to approve a local scheme by the statutory deadline would result in the default national scheme being imposed. This would significantly increase costs to the Council due to more generous entitlements for working age claimants.

The proposed approach ensures legislative compliance, financial sustainability, continued protection for pension-age residents and ongoing support for financially vulnerable households across Tameside.

Recommendations: That Executive Cabinet recommends to Council that the Council:

- a) Continues the Council Tax Reduction Scheme adopted for 2025/2026, known as the Council Tax Support Scheme (CTS), as set out in Appendix Two, save for the following:
 - The annual benefit uprating, released by the Department for Works and Pensions (DWP);

- Further guidance which may be released from the Ministry of Communities, Housing and Local Government (MCHLG)

b) Approves the £0.05m hardship fund remains in place to assist severe cases of hardship funded from existing budget, to be administer by Revenues & Benefits under the Section 13A Policy.

Alternative Options:

The Council could decide not to set a scheme, and the default scheme would apply in accordance with the Local Government Finance Act 2012. However, this would have a significant financial impact on the Council as the default scheme affords a greater level of support to claimants of working age.

The Council could also decide to set a different scheme to that in place in the previous year, however to do so would carry significant risk as the required due diligence, new scheme modelling, resident/stakeholder consultation and equality impact assessment will not have been undertaken.

Corporate Plan:

The Council Tax Support scheme directly supports delivery of the Council's corporate priorities. The scheme underpins the priority of opportunity to earn and learn by helping stabilise household finances for low-income residents, enabling them to better access employment, skills and learning opportunities without the added pressure of unmanageable Council Tax liabilities. It also strongly contributes to safe, green and supportive communities, ensuring that vulnerable households receive essential financial support, helping to reduce financial stress, prevent hardship, and strengthen the overall resilience and wellbeing of neighbourhoods. As part of the wider corporate ambition for Tameside to be a place where everyone can achieve their hopes and ambitions, the scheme plays an important role in promoting fairness, financial inclusion and stability for residents who need it most.

Policy Implications:

The Council Tax Support Scheme supports economically vulnerable households with Council Tax bills ensuring equitable treatment across income levels whilst maintaining sustainability. The Scheme can impact a number of Council policies including welfare support and anti-poverty, economic development, health and wellbeing, budget and medium-term financial strategy and debt recovery.

**Financial Implications:
(Authorised by Strategic
Director of Finance(s151))**

The Council Tax Support Scheme is a cost to the Council in the sense that it reduces the amount of Council Tax that can be collected.

The cost of the scheme in 2026/2027 is an estimated £18.4m (2025/26 is estimated at £17.5m). The revenue foregone as a result of the scheme is factored into the Council Tax base and Council Tax setting as part of the annual budget process. If Council Tax rates increase in 2027/2028 then the cost of the scheme will again increase, in line with the increase in Council Tax. Any increase in the number of claimants compared to 2026/2027 will further increase the cost of the scheme.

**Legal Implications:
(Authorised by the
Director of Legal and
Democratic Services)**

It should be noted that the £0.05m hardship fund is budgeted recurrently within the Finance Directorate revenue budget.

Schedule 1A to the Local Government Finance Act 1992 sets out the statutory framework for local Council Tax Reduction Schemes. The Council must approve its scheme no later than 11 March in the financial year preceding that for which the scheme is to have effect (paragraph 5(2)). If the Council does not make a scheme by that date, the Council Tax Reduction Schemes (Default Scheme) (England) Regulations 2012 apply automatically (paragraph 4(4)). This would have significant cost implications, as the default scheme provides up to 100% support for some working age claimants.

Schedule 1A also sets out the procedural requirements for preparing, revising and replacing a scheme. In particular, the Council must (paragraphs 3–5):

- consult any major precepting authorities (paragraph 3(1)(a));
- prepare and publish a draft scheme (paragraph 3(1)(b));
- consult other persons likely to have an interest in the operation of the scheme (paragraph 3(1)(c));
- publish the approved scheme (paragraph 3(3));
- consider annually whether to revise or replace the scheme (paragraph 5(1));
- consult on any proposed revision or replacement (paragraph 5(5));
- include transitional provisions where support is reduced (paragraph 5(4)); and
- make any decision to revise or replace the scheme by 11 March (paragraph 5(2)).

All local schemes must incorporate the Council Tax Reduction Schemes (Prescribed Requirements) (England) Regulations 2012, made under Schedule 1A. These regulations set out mandatory elements of the scheme and provide full protection for pension age claimants by requiring their entitlement to be calculated on the same basis as the former Council Tax Benefit. Pension age claimants are therefore excluded from local policy decisions affecting working age claimants.

In adopting or revising a scheme, the Council must also have regard to the public sector equality duty and the child poverty strategy. The Council Tax Support Scheme is approved annually following consideration of whether any changes are required.

Legal Services have reviewed the report and consider that it accurately reflects the legislative framework governing the Council Tax Reduction Scheme and the proposed hardship fund. Decision makers should have regard to the Equality Impact Assessment and the mitigations identified when determining whether to approve the recommendations set out.

Risk Management:

The risks are set out in Section 7 of this report.

Access to Information:

Non confidential

Background Information: The background papers relating to this report can be inspected by contacting Julie Smethurst, Assistant Director, Revenues and Benefits.



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Appendix One – Scheme costs and demand

Appendix Two – Draft Council Tax Support Scheme 2026/2027

Appendix Three – Equality Impact Assessment

1. INTRODUCTION

- 1.1 Council Tax Reduction (CTR) was introduced by Central Government in April 2013 as a replacement for the Council Tax Benefit scheme. As part of the introduction the Government:
- Placed the duty to create a local scheme for **Working Age** applicants with billing authorities;
 - Reduced initial funding by the equivalent of ten percent from the levels paid through benefit subsidy to authorities under the Council Tax Benefit scheme; and
 - Prescribed that persons of a **Pension Age** would be dealt with under regulations set by Central Government and not the authorities' local scheme.
- 1.2 The current Council Tax Reduction scheme administered by the Council is effectively divided into two, with pension age applicants receiving support under the rules prescribed by Central Government.
- 1.2 Pensioners, subject to their income, can receive up to 100% support towards their Council Tax. The Council has no powers to change the level of support provided to pensioners and therefore any changes to the level of Council Tax reduction can only be made to the working age scheme.
- 1.3 In Tameside the local Council Tax Reduction Scheme is known as the Council Tax Support Scheme (CTS). In consideration of setting the local CTS scheme for 2026/2027, this report sets out:
- What the Council is required to do;
 - The operation of the Council Tax Support scheme in 2025/2026;
 - The proposed Council Tax Support scheme 2026/2027.

2. PROCEDURAL REQUIREMENTS

- 2.1 The provision of a Council Tax Reduction Scheme is a statutory requirement and each year the Council is required to review its scheme in accordance with the requirements of the schedule 1A of the Local Government Finance Act 1992 and to either maintain the scheme or replace it.
- 2.2 In considering setting a Council Tax Reduction scheme the Council must adhere to a number of procedural requirements, which are detailed as follows:
- Set a Council Tax Reduction scheme no later than 11 March before the start of the financial year to which the scheme applies;
 - Adopt the prescribed requirements which must apply to all schemes, which include local schemes, adopt the prescribed scheme for persons of state pension credit age);
 - Ensure that all claimants of state pension credit age continue to receive the same support under the scheme as they received prior to 1 April 2013 known as Council Tax Benefit;
 - Consider the statutory public sector equality duty in adopting a scheme and the child poverty strategy;
 - Consult all major precepting authorities;
 - Consult generally on the draft scheme, when applicable.
- 2.3 If the Council fails to approve the local scheme by the correct date, the Council Tax Reduction

Schemes (Default Scheme) (England) Regulations 2012 must be operated. This would have significant cost implications for the Council as it is based on some working age claimants being entitled to 100% of the Council Tax liability.

- 2.4 All local authorities must include the Council Tax Reduction Schemes (Prescribed Requirements) (England) Regulations 2012 within their local schemes. These regulations provide certain elements of the scheme, including providing full protection for all pension age claimants by ensuring that Council Tax Support is calculated in the same way that Council Tax Benefit was operated prior to 1 April 2013. This means that all pension age claimants are excluded from decisions made by local authorities in respect of their local schemes.
- 2.5 In accordance with procedural requirements the Executive Cabinet considered a report in July 2025 on whether to make changes to the scheme or to maintain the current scheme. It was approved that the 2026/2027 Council Tax Support scheme should in principle remain the same.
- 2.6 The Council then approve the CTS scheme annually in February or March effective from 1 April each year and after giving consideration as to whether the scheme should change.

3. CURRENT OPERATION AND COSTS

- 3.1 Claimant caseload fluctuates on a daily basis and overall, there has been a downward trend on claimant numbers since April 2013, with an increase in working age claimants during the covid pandemic and for this current financial year, which highlights the current difficult economic position.
- 3.2 The current scheme costs and demand information can be found detailed in Appendix One.
- 3.2 The actual scheme costs have increased since April 2020. Any increase in Council Tax increases the cost of the scheme, which has been the case since 2020/2021. An increase in caseload will also increase the cost of the scheme.
- 3.3 Scheme costs, claimant numbers and equalities data is monitored every quarter. The monitoring throughout the financial year has shown the scheme to be operating as expected with no unintended consequences.
- 3.4 Support continues to be available to CTS claimants experiencing financial hardship as a result of the CTS scheme. The purpose of the hardship scheme is to mitigate the potential risk that some claimants may in exceptional circumstances suffer severe financial hardship and may apply for additional monies to help to pay their Council Tax. This relief is an integral part of any local scheme in accordance with Government scheme guidance, and where hardship payments are made, these are paid under Section 13A (1)(c) of the Local Government Finance Act 1992.
- 3.5 A Section 13A payment has the effect of reducing the amount of Council Tax payable subject to conditions within the Policy being met. A Council must consider all applications for hardship on an individual case-by-case basis, considering available income and essential outgoings. Where appropriate further support will be given to the applicant. The Section 13A policy is detailed here: [Section-13A-Policy.pdf \(tameside.gov.uk\)](#) Any awards made are paid through the Collection Fund.
- 3.6 As at 22 December 2025 £6k in relation to 13 individual claims, has been paid in CTS hardship.

- 3.7 The hardship fund total £50k in 2026/2027 as in previous years. Hardship funding is identified from existing budgets and is administered on a case-by-case basis; however, this amount does not exclude approved applications being granted should the maximum allocated funding be exceeded.
- 3.8 Information regarding the Council Tax Support scheme and an on-line application form is available on the Council's website and residents are signposted to the website on the back of Council Tax bills.
- 3.9 Residents may obtain advice and assistance on the Council Tax Support scheme and the Hardship Fund from the Council's Benefits Service, Customer Services, Call Centre, Citizens Advice Bureau and Tameside Welfare Rights Service. The Council has a dedicated web page to assist people with financial matters [Helping Hand Tameside- find help local to you - Tameside MBC](#)
- 3.10 The Benefit and Council Tax Service also offer income maximisation support to help residents understand what further monies, discounts/exemptions they may be able to claim and are entitled to.
- 3.11 The Benefits and Council Tax service works closely with housing and voluntary sector colleagues who assist claimants, including those in supported accommodation. There are close links with the DWP to ensure that claims are received and processed at the earliest opportunity.

4. FACTORS TO BE CONSIDERED

- 4.1 Current costs, current caseload, external influences such as changes in legislation, changes directed by tribunal, funding and the scheme wording should all be taken into account when considering revising/setting the local scheme.
- 4.2 The Council is committed to providing support to CTS claimants, support can take different forms such as financial advice as detailed in Section 3.
- 4.3 The current cost of the scheme is £17.5m with a maximum award for a working age claimants of 75% of their Council Tax liability capped at a Band A, subject to income and circumstances. Should Council Tax charges increase or the caseload increase the cost of the scheme will also reflect this increase.
- 4.4 The Council continues to face significant financial challenges in how much the Council has to spend on services. It is clear that when setting a local CTS scheme, the Council's finances must be taken into account and the impact of the current economic position.
- 4.5 The Valuation Tribunal Service considers appeals by any resident with regard to Council Tax Reduction schemes. The Tribunal Service is independent of the Council. On occasion the Valuation Tribunal may advise a Local Authority to reconsider elements of the scheme which can be for a number of reasons and, bearing in mind that each Local Authority will set its own scheme, any decision of the Tribunal can only be directed to the Local Authority scheme being considered at appeal. Tameside has not received any direction from the Valuation Tribunal Service in 2025/2026.
- 4.6 The Ministry of Housing, Communities and Local Government have not issued any legislation, including changes to The Council Tax Reduction Schemes (Prescribed Requirements) (England) Regulation 2012, to be included in local schemes for the forthcoming financial year. Should legislation be released at a future date then this would be included in a revision to the scheme to be effective from 1 April 2026.

- 4.7 The Local Government and Social Care Ombudsman may also make generalised recommendations (as opposed to guidance) for all local authority schemes arising from complaints received, however no recommendations have been received which may have an impact on the 2026/2027 scheme.
- 4.8 The scheme is operating as expected, with a simplified application process. No specific negative impacts have emerged to date. Therefore, it is proposed to set in place the same scheme in principle for 2026/2027 that was set in 2025/2026.

5. EQUALITIES IMPACT ASSESSMENT

- 5.1 The Equality Act 2010 makes certain types of discrimination unlawful on the grounds of: age, race, including colour, nationality, ethnicity, and national origin, gender reassignment, disability, marriage and civil partnership, pregnancy and maternity, sex, sexual orientation, religion or belief.
- 5.2 Tameside, also consider further protected characteristics of current and former members of the armed forces, mental health, carers, breastfeeding, socio-economic disadvantage, cared for children and care leavers.
- 5.3 Section 149 of the Equality Act 2010 places the Council and all public bodies under a duty to promote equality. All public bodies, are required to have regard to the need to
- Eliminate unlawful discrimination;
 - Promote equal opportunities between members of different equality groups;
 - Foster good relations between members of different equality groups including by tackling prejudice and promoting understanding;
 - Eliminate harassment on the grounds of membership of an equality group;
 - Remove or minimise disadvantages suffered by members of a particular equality group;
 - Take steps to meet needs of people who are members of a particular equality group;
 - Encourage people who are members of an equality group to participate in public life, or in any other area where participation is low;
 - This specifically includes having regard to the need to take account of disabled people's disabilities.
- 5.4 The Act therefore imposes a duty on the Council, which is separate from the general duty not to discriminate. When a Council carries out any of its functions, including deciding the CTS scheme to be adopted, the Council must have due regard to the matters within the section of the Act outlined above. The Courts have made it clear that Councils are expected to rigorously exercise that duty.
- 5.5 A review of equalities information on the scheme takes place every quarter to ensure that the CTS scheme is operating as expected and to ensure that no one equalities group is adversely affected. The categories of gender reassignment, sexual orientation and religion or belief are not considered, as this information is not required to be held when processing Council Tax Support, which is a means tested benefit.
- 5.6 The last quarterly review undertaken in December 2025 revealed that there continues to be no adverse impact on any specific equalities group.
- 5.7 The population of Tameside is estimated at 231,100 based on the latest census population (2021) from the ONS. Trends show an ageing population. Tameside has 17,333 CTS

claimants as of 5 December 2025 and of these 6,733 have reached pension credit age and are therefore fully protected under legislation contained in the prescribed scheme.

5.8 Tameside is ranked 28th most deprived of the 317 local authority districts and the 5th most deprived in Greater Manchester.

5.9 A full Equalities Impact Assessment has been carried out as detailed in Appendix Three.

6. FINANCIAL IMPLICATIONS

6.1 The cost of the CTS scheme is estimated as part of the annual tax base and included within the Council's budget and Medium-Term Financial Strategy (MTFS).

6.2 The latest forecast suggests that the new Council Tax Support scheme will cost around £18.4m million in 2026/2027 based on current caseload and a 5% Council Tax increase, which is built into the Council's budget and MTFS. Costs are shared between the Council and the Major Precepting Authorities. The indicative costs exclude any amount granted under the exceptional hardship provision.

6.3 To support severe cases of hardship a hardship fund is in place which is administered in accordance with the Section 13A policy. The current level of funding is £50k. This funding level will be reviewed as part of quarterly equality monitoring to ensure it remains adequate.

7. RISKS

7.1 In setting the local Council Tax Support scheme for 2026/2027 it is important to consider the risks in doing so. If a local scheme is not set by 11 March 2026 the default scheme will apply. The default scheme is the same as the Council Tax Benefit scheme, which ceased to exist from April 2013, this would be a more expensive scheme which the Council would have to fund.

7.2 There is a continued risk that demand for support could increase if the economic picture worsens, however this cannot be predicted. The Benefits Service regularly monitor the effects of the scheme, the caseload movement and track the in-year spend. Since the end of the previous financial year there has been an 5.16% increase in overall claimants.

7.3 Consideration must always be given to preventing poverty and the current scheme aims to support the most financially vulnerable residents. The cost of the scheme is borne by all Council Tax payers. To make the scheme more generous would impact on residents of the Borough by way of increased Council Tax payments to fund any additional CTS scheme costs.

7.4 Central government issuing guidance which local authorities must take into account in implementing any future scheme may present a risk, however MHCLG are aware of the legislative timescale within which a local scheme must be set. Therefore, should MHCLG wish to issue guidance to be included in a future year's scheme then every local authority would be in the same position of a tight timescale within which to consult and redraft the scheme in accordance with the legislation. The same applies with Tribunal decisions, however such matters cannot be foreseen.

7.5 Equality reviews on the scheme take place every quarter and an equality impact assessment has been completed.

8. CONCLUSION

- 8.1 Council Tax Support claimants have increased by 5.16% since the end of the financial year 2024/2025 and the scheme costs have increased in line with the increase in Council Tax charged. Claimant numbers and costs fluctuate daily. The highest number of claimants are those of a working age as expected.
- 8.2 Claimants of pension age continue to be fully protected within the scheme.
- 8.3 The scheme in terms of equalities monitoring is operating as expected and this will continue to be monitored every quarter.
- 8.4 Support will remain in place for all claimants in respect of the hardship fund and financial advice remains in place from both the Council and partner agencies.
- 8.5 No tribunal decisions have been received in respect of having to change the scheme, currently no Tameside Council Tax Support cases are scheduled to be heard by the Valuation Tribunal Service. No legislative changes have been received from MHCLG. The Local Government Ombudsman has not issued any recommendations with regard to Council Tax Support schemes.
- 8.6 Based on current data, the Council Tax Support scheme is performing as intended and it:
 - Continues to support low-income households and the most financially vulnerable and;
 - Has reduced the overall level of administration.

9. RECOMMENDATIONS

- 9.1 As set out at the front of the report.